

The Judgement

Tracking Venture Capital Funds

FORWARD

Crypto originated from the collaborative efforts of tech-savvy individuals worldwide, united in building a system governed solely by code—autonomous, sovereign, decentralized, and open-source. The societal recognition of its value transformed this once conceptual idea into a multi-trillion-dollar industry. Initially centered on individual sovereignty, the space is now inundated with hedge funds, venture capital (VC) funds, and liquidity providers, all rapidly entering the industry.

This influx of funds seeks optimal investments across diverse sectors such as smart contracts, DeFi, asset management, Web3 infrastructure, scaling, NFTs, and gaming. Formerly operating in the shadows, these funds have become more transparent about their investments as regulations have approached in recent years. Although extracting data from their investment funds is not straightforward, with the right resources and sufficient free time, one can unveil these funds' portfolios.

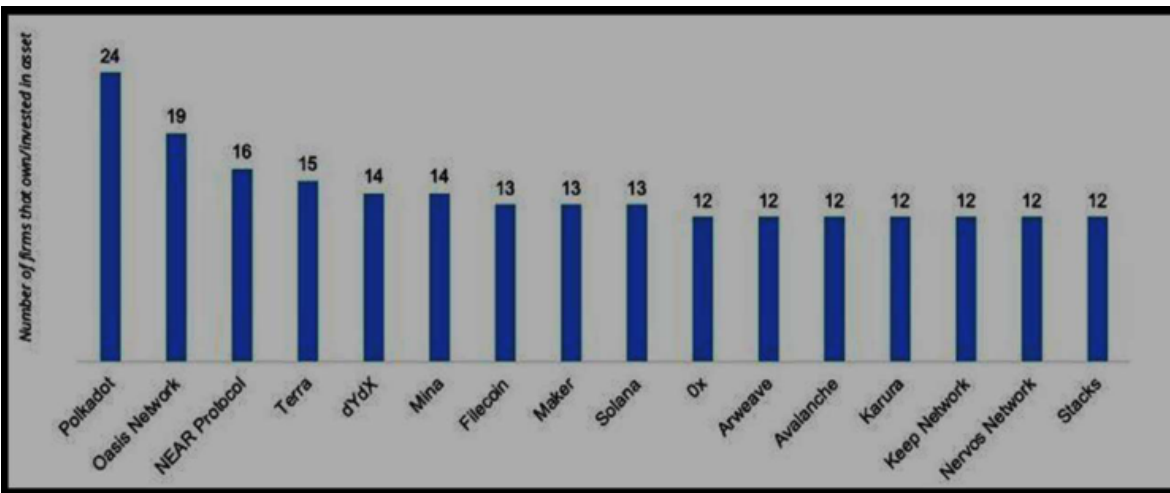
The public accessibility of these investments, combined with the low entry barriers in crypto, enables any investor to replicate the strategies of institutional investors. In contrast, traditional VC opportunities are more constrained.

The Data

Analyzing the data of 57 crypto investment funds as of March 3, 2022 the top held assets were:

- Polkadot (DOT)
- NEAR Protocol (NEAR)
- Oasis Network (ROSE)
- Terra (LUNA)
- DyDx (DYDX)
- Mina (MINA)

*Note: This is not including BTC or ETH as nearly every fund has them.



Among the 57 funds analyzed, Polkadot is a key asset for 24 of them, constituting a substantial 42% of funds invested in the success of DOT. This trend has persisted since my examination of this data started at the beginning of last year, which is why I have consistently advocated for DOT throughout this period.

With the rising popularity of parathreads and the ongoing parachain auctions extending into Q1 of 2023, funds holding DOT will continue to exert significant influence. As projects compete to secure slots on the Polkadot platform through parachain auctions, the prominence of DOT-holding funds is expected to remain a notable factor.

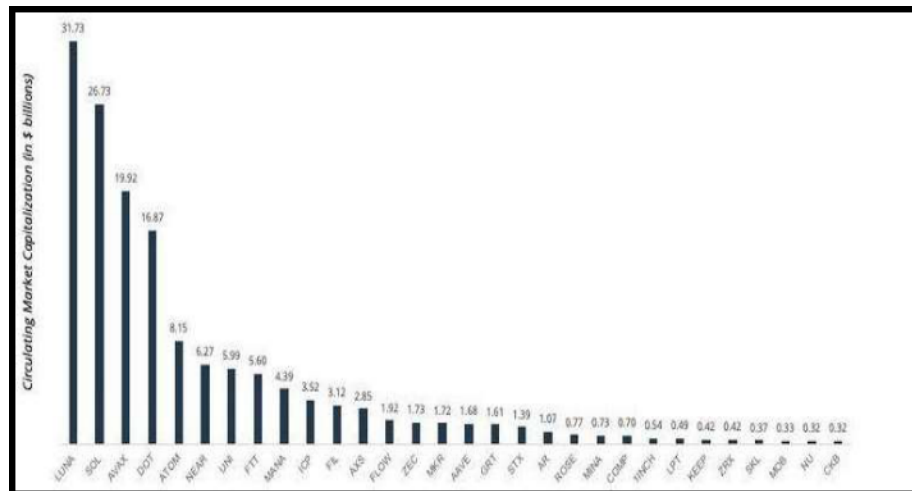
The second most held asset in the analyzed data is Oasis Network (ROSE), a project dedicated to enhancing smart contracts through integrated privacy and scalability features.

Following closely is the third most held asset, NEAR Protocol (NEAR), a smart contract platform with a robust development team focused on improving transaction speed and user-friendliness.

Ranked fourth is Terra (LUNA), a platform for algorithmically governed, seigniorage share-style stablecoins, built on the Cosmos blockchain. Notably, during my last analysis in November, Terra held the second position, indicating a slight sell-off in recent times.

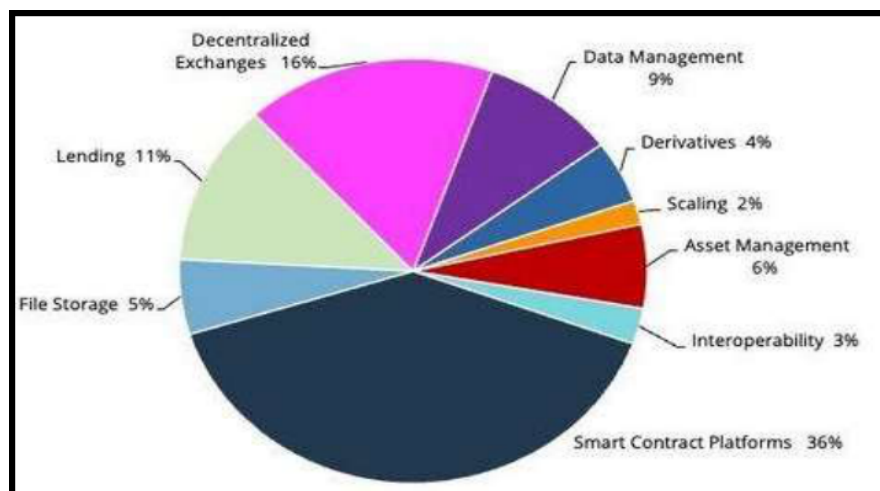
Sharing the fifth position are dYdX (DYDX) and Mina (MINA). Both experienced a significant surge in rankings, with dYdX emerging as a new top asset this year. dYdX dominated investments in decentralized exchanges (DEX) during Q4, while Mina contributed to the ongoing fervor in the smart contract space.

Terra Holds The Highest Circulating Market Cap of Top Crypto Fund Invested Assets



Among the top 30 invested assets, Terra boasts the highest circulating market capitalization. This achievement is noteworthy as Terra has surpassed Solana, Polkadot, and Avalanche in market cap, marking a year of remarkable growth in its popularity. On the other hand, Nervos Network (CKB) holds the lowest circulating market capitalization among the top 30 assets, and Cosmos (ATOM) has the lowest circulating supply among the top five assets.

Smart Contract Platforms Remain the Most Heavily Invested Category



As seen from this data - funds are visibly steering towards smart contract platforms and decentralized exchanges.

Of the top 50 assets, smart contracts remain the most heavily invested category. The smart contract battles continue to heat up as both funds and projects look to scale and build superior smart contract alternatives.

Evidently, four of the top five invested assets this quarter are all smart contract platforms. Given how Oasis Network, NEAR Protocol, and Mina are still gaining traction within the smart contract landscape, time will tell how they match up against industry leaders like Ethereum, Cosmos, Polkadot, and Solana.

Drastic growth was only prevalent in the smart contract space as most other market sectors slightly grew, slightly declined, or remained the same. Unique sectors such as file storage saw mild growth with the top investments being Filecoin (FIL) and Arweave (AR). Meanwhile, capital continues to flow towards building Web3, as data management-type projects such as The Graph (GRT) remain prevalent and new players such as NuCypher (NU) keep emerging.

It's important to note that this breakdown of sectors only covers the top 50 VC invested assets. Outside of the top 50, there has been a growth of investments in gaming, metaverse, and NFT infrastructure.

Leveraging the VC Portfolio

Rank	Name	Ticker	Price	Fully Diluted Mcap	VC Rank	Deviation
1	Terra	LUNA	\$92.89	\$70,941,714,399	4	-3
2	Solana	SOL	\$92.88	\$47,478,222,643	9	-7
3	Avalanche	AVAX	\$91.17	\$36,125,120,913	12	-9
4	Polkadot	DOT	\$19.61	\$21,640,693,046	1	3
5	NEAR Protocol	NEAR	\$11.39	\$11,400,368,378	3	2
6	dYdX	DYDX	\$5.28	\$5,282,286,437	5	1
7	Filecoin	FIL	\$18.27	\$3,274,218,097	7	0
8	Oasis Network	ROSE	\$0.25	\$2,479,934,613	2	6
9	Arweave	AR	\$34.25	\$2,260,785,075	11	-2
10	Maker	MKR	\$2,075.29	\$2,086,862,700	8	2
11	Mina	MINA	\$2.20	\$1,811,950,410	6	5
12	Keep Network	KEEP	\$0.64	\$637,407,942	14	-2
13	Ox	ZRX	\$0.55	\$552,811,445	10	3
14	Nervos Network	CKB	\$0.01	\$412,689,277	15	-1
15	Karura	KAR	\$1.45	\$145,094,034	13	2

This data is valuable for analyzing the correlation between funds' holdings and projects' current market caps. The emphasis on fully diluted market cap, accounting for unreleased tokens, provides a comprehensive view, particularly considering varying token release schedules and circulating supply percentages across projects.

While not the sole analysis method, focusing on positive deviation values among the top 15 tokens highlights potential undervalued projects like Polkadot, Oasis Network, and Mina, which can be expected to be significant movers in Q2 and Q3.

Final Words

I created a public watchlist on CoinMarketCap for tracking these projects, with regular updates: [CoinMarketCap Watchlist](#). The analysis underscores that despite Terra, Solana, and Avalanche appearing overvalued on the chart, their strong development justifies their higher value.

Noteworthy is the lower barrier to entry in crypto compared to traditional VC investments, allowing everyday investors to access the same assets. However, the risk factor remains, as institutional funds employ unique risk management strategies inaccessible to non-accredited investors.

These institutional funds, due to private placement valuations and early access, have a greater potential profitable margin. They are equipped to navigate market fluctuations and often secure profits in both bull and bear markets. Despite the inevitable presence of institutional players in crypto, the industry's open and public nature ensures promising opportunities and lower barriers for everyday investors to participate and succeed.